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Prediction Markets
The Complete Guide to Polymarket

AI Trading • Whale Strategies • Deep-Dive Playbook

Polymarket: The Complete Guide

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For: Web3 Enthusiasts • Prediction Market Traders • Investors

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§01 Prediction Markets: Truth Machines Powered by Money

Prediction Markets: Truth Machines Powered by Money

> Polls say one thing, experts say another, and social media says something else entirely. The more information we have, the harder it becomes to tell what's actually true. Is there a way to aggregate the scattered fragments of knowledge inside millions of people's heads into a single number that's closest to the truth?

How Much Does a Bull Weigh?

In 1907, at a county fair in Plymouth, England, the statistician Francis Galton conducted an experiment that has been cited countless times since.

A bull was led to the center of the fairground, and 787 people — butchers, farmers, and passersby with zero bovine expertise — each paid sixpence to guess the animal's dressed weight after slaughter. Galton, an advocate of eugenics who didn't think much of ordinary people's intelligence, fully expected the crowd to get it wrong.

The result stunned even him: the median of all 787 guesses was 1,207 pounds. The bull's actual weight was 1,198 pounds. The error was less than 1%.

No single individual's guess beat the crowd's median. Not even the butchers — supposedly the experts — came closer.

> **This is the classic case of the "wisdom of crowds":** when enough independent judgments are pooled together, random errors cancel each other out and converge on a number astonishingly close to the truth.

A century later, journalist James Surowiecki turned this principle into the bestseller *The Wisdom of Crowds*, identifying four conditions for collective intelligence to work: diversity, independence, decentralization, and an effective aggregation mechanism.

The question is: what's the best "aggregation mechanism"?

Price as an Information Compression Engine

In 1945, Austrian economist Friedrich Hayek published a paper barely a dozen pages long: "The Use of Knowledge in Society." It would come to be regarded as one of the most important economics papers of the 20th century and a cornerstone of Hayek's Nobel Prize.

Hayek's core insight was simple: no single person — however brilliant — can possess all the dispersed knowledge in society. A tin miner knows the state of the ore veins. A shipping company owner knows the logistics bottlenecks. A factory manager knows the capacity limits. These fragments of knowledge are scattered across millions of minds, and no central planning committee can ever collect them all.

But market prices can.

When tin output falls, the price of tin rises. That price signal propagates along the entire supply chain: factories cut their tin purchases, their customers seek substitutes, consumers shift to tin-free products. Millions of people, without knowing *why* tin got expensive, make the right adjustments.

> **Key Insight**
>
> Hayek's insight can be boiled down to one sentence: **Price is the most efficient information aggregator ever invented by humanity.** It compresses the dispersed knowledge of countless people into a single number that anyone can read and act on.

Prediction markets apply this same principle to the probabilities of future events. When you buy a "Trump wins the 2024 election" contract on a prediction market, you're not merely expressing an opinion — you're backing your judgment with real money. If you have insider information, a better model, or just an intuitive read on a particular swing district, that information flows into the market price through your trade.

Aggregate thousands of such trades, and the market price becomes a real-time, continuously updated probability estimate.

From Papal Bets to Presidential Elections: A Brief History

Prediction markets have a much longer history than most people realize.

In 16th-century Italy and Ireland, betting pools emerged around papal elections. People wagered on who would become the next pope, with odds reflecting each cardinal's chances. Given the Catholic Church's stance on gambling, the irony is hard to miss.

By the 19th and early 20th centuries in America, Wall Street "election pools" were practically a fixture of every presidential race. New York traders bet real money on election outcomes outside the formal exchanges. From 1884 to 1940, these betting pools correctly predicted the winner in 11 out of 15 presidential elections.

The modern prediction market truly began in 1988. A group of professors at the University of Iowa's business school created the Iowa Electronic Markets (IEM), the first academic prediction market platform. IEM received a special no-action letter from the CFTC allowing small-scale real-money trading (capped at $500 per person), specifically for election prediction research.

IEM's track record was impressive: over many years, its election predictions consistently outperformed contemporaneous polling data. This finding attracted significant academic attention and spawned more prediction market platforms.

In 2001, economist Robin Hanson proposed an even more radical idea: why not use prediction markets for all major decisions? He coined the term "futarchy" — governance by prediction market. In a futarchy, citizens vote on *goals* (e.g., maximize GDP growth), and prediction markets determine *methods* (which policy is most likely to achieve the goal).

No country has adopted this idea, but it profoundly influenced later prediction market entrepreneurs, including Polymarket founder Shayne Coplan.

Four Forecasting Tools Go Head-to-Head

Are prediction markets really more accurate than other forecasting methods? Let's compare them side by side.

Dimension	Polls	Expert Forecasts	AI Models	Prediction Markets
Information Source	Self-reported random samples	Personal experience + domain knowledge	Historical data + pattern recognition	Dispersed knowledge of all participants
Incentive Mechanism	None (free responses)	Reputation	None (algorithm-driven)	Money (wrong answers cost you)
Update Speed	Days to weeks	Irregular	Depends on training cycles	Real-time
Noise Resistance	Weak (social desirability bias)	Weak (confirmation bias)	Moderate (depends on training data quality)	Strong (noise eliminated by arbitrageurs)
2024 Election Performance	Near 50:50, severely underestimated Trump's lead	Most predicted a tight race	Models diverged significantly	Trump 58-60%, correct in both direction and magnitude
Known Weaknesses	Sample bias, "shy voters"	Anchoring effect, herd mentality	Poor on out-of-distribution events	Vulnerable to manipulation when liquidity is thin

The 2024 U.S. presidential election was the ultimate real-world test. Before the election, virtually all major polls showed Harris and Trump neck-and-neck, with some even giving Harris a slight edge. FiveThirtyEight's composite model put it at roughly 50:50. But in the final week, Polymarket consistently priced Trump at 58-60%. Trump won, and by a wider margin than most had expected.

CNN's post-election headline said it all: "Prediction markets saw what polls and pundits missed."

Why "Voting with Money" Beats "Voting with Words"

It all comes down to one thing: when you have to put your own money on the line, you take it a lot more seriously than answering a survey question.

The problem with polls is that respondents have zero incentive to tell the truth. You might give an inaccurate answer because of embarrassment, social pressure, or just for fun. This is the so-called "shy voter" effect — many Trump supporters in both 2016 and 2024 concealed their true preferences from pollsters.

Experts have a different problem. They face reputational pressure, but that pressure actually encourages conformity: if all your peers say A will win and you alone predict B, you get your reputation destroyed if wrong, and if right, people just say you "got lucky." So expert predictions tend to converge on the safe consensus.

Prediction markets flip this dynamic. Think the market severely underestimates a certain outcome? Buy cheap contracts in bulk — if you're right, the profit is substantial. This mechanism naturally attracts people with exclusive information or superior analytical ability — the "smart money" — and their trading continuously corrects the market price, pushing it closer to the true probability.

> **Economists call this the "marginal trader hypothesis":** it's not the average participant that determines the market price, but the most informed, most active marginal traders. Most people may know nothing about an event, but as long as a few informed individuals are willing to bet, the price gets pushed in the right direction.

Of course, prediction markets aren't infallible. They perform well under certain conditions: enough participants, sufficient liquidity, and information that can be gathered in a decentralized fashion. When participation is too thin (say, on an obscure topic), or information is highly concentrated in a few hands (like cryptocurrency insider knowledge), accuracy drops off a cliff.

The May 2025 papal election was a textbook counter-example. Polymarket gave the eventual winner, Robert Prevost, only a 0.3% probability, while the frontrunner Pietro Parolin stood at just 28%. The reason was simple: information from the conclave was hermetically sealed, rendering the market's information aggregation mechanism useless.

> **Warning**
> Prediction markets are not crystal balls. They are information aggregators, and the quality of their output depends on the quality and quantity of the information fed into them. In high-attention, high-liquidity markets (like the U.S. presidential election), they are among the most reliable forecasting tools available. In markets with closed information and sparse participation, they may be barely better than a coin flip.

Now that we understand the principles and limitations of prediction markets, let's look at how a 22-year-old college dropout turned this academic concept into a commercial empire valued at nearly ten billion dollars.

§02 Polymarket: A Dropout's Twenty-Billion-Dollar Empire

Polymarket: A Dropout's Twenty-Billion-Dollar Prediction Empire

> A teenager from Manhattan's Upper West Side bought Ethereum at 16, wrote a letter to an economics professor at 19 saying he wanted to change the world, and at 22 started coding alone in a Lower East Side apartment. Five years later, he became the world's youngest self-made billionaire.

Starting with $0.30 Ethereum

Shayne Coplan was born in 1998 and grew up on Manhattan's Upper West Side. The entrepreneurial instinct showed early: in 2014, at 16, Coplan participated in Ethereum's ICO (Initial Coin Offering), buying ETH at roughly $0.30 a token. At today's prices, that investment's return exceeds 10,000x.

While still in high school, Coplan attempted to build an ECN (Electronic Communication Network) exchange and even proactively contacted the SEC to ask about regulatory requirements. A high schooler reaching out to the U.S. Securities and Exchange Commission to discuss compliance reveals a rather unusual character trait: his interest in financial markets and regulation wasn't rebellious — it was earnest and constructive.

After enrolling at New York University (NYU) to study computer science, Coplan encountered two thinkers who would profoundly shape his future venture: Friedrich Hayek and Robin Hanson.

Hayek's information theory (prices as aggregators of dispersed knowledge) was covered in the previous chapter. George Mason University professor Robin Hanson went further: he proposed "futarchy," the idea of using prediction markets to supplement or even replace traditional democratic voting for major decisions.

In 2019, 21-year-old Coplan wrote a letter to Robin Hanson saying he wanted to bring prediction markets to the mainstream. Hanson's reply was lukewarm — he'd seen too many young people claim they'd make prediction markets mainstream, and none had succeeded. But Coplan wasn't deterred.

In June 2020, with COVID raging worldwide, Coplan dropped out of NYU and began coding alone in his Lower East Side apartment. The initial platform was called Union Market, but it quickly pivoted toward prediction markets. The pandemic had created so much uncertainty that people desperately needed a more reliable way to understand what was happening than news headlines.

The platform was renamed Polymarket. Coplan was 22.

Product Mechanics: Turning Probabilities into Tradeable Assets

Polymarket's product logic is straightforward — it can be explained in one sentence: you pay money to buy "Yes" or "No," and if you're right, you get $1 back; if you're wrong, you get zero.

Let's break it down with a concrete example.

> **Example: "Will Bitcoin break $100,000 by end of March 2026?"**
>
> This market has two tradeable contracts: **Yes shares** and **No shares**. If you think Bitcoin will break $100K, you buy Yes shares; if you think it won't, you buy No shares.
>
> Suppose the current price of a Yes share is $0.65 — meaning the market consensus puts the probability at 65%.
>
> If Bitcoin does break $100K, your Yes share is worth $1.00 — you've earned $0.35 (54% return). If it doesn't, your Yes share goes to zero — you lose $0.65.

The key design here is: **price equals probability**. A $0.65 Yes share = a 65% probability estimate. Nobody decrees this — it emerges naturally from supply and demand. For instance, if bullish news breaks (institutional buying spree), more people rush to buy Yes shares, the price rises to $0.80, and the probability estimate updates to 80%.

Every price movement is an information update.

You don't have to wait until the event resolves to exit. If you bought Yes shares at $0.40 and the price rises to $0.75, you can simply sell and take profits — not unlike trading stocks. This flexibility makes prediction markets not just a casino, but something closer to an information exchange.

Settlement: Who Determines the "Truth"?

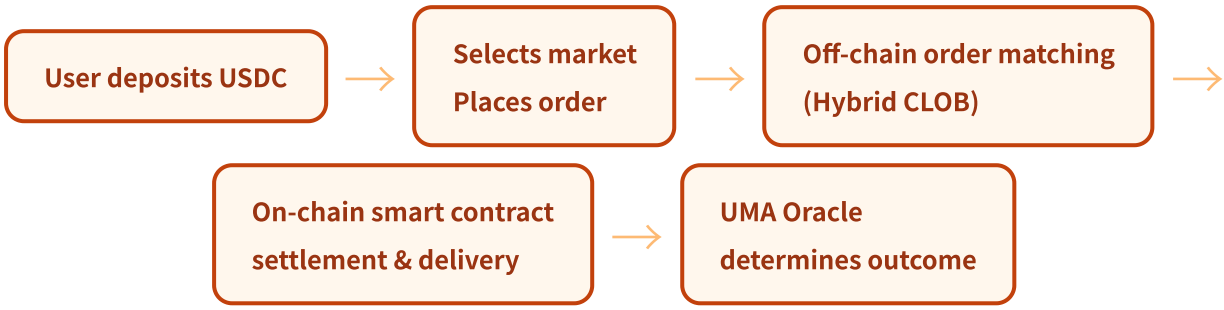
The most critical trust issue for any prediction market platform is: who decides the outcome when the event concludes?

Polymarket uses UMA Protocol's decentralized oracle. When a market expires, UMA's oracle determines the result based on predefined settlement criteria (e.g., "BTC/USD price on CoinGecko"). If there's a dispute, UMA token holders can vote to adjudicate.

This design avoids the centralization risk of "the platform decides." In theory, no single entity can manipulate settlement outcomes.

Technical Architecture: Off-Chain Matching, On-Chain Settlement

Polymarket's technical architecture is a hybrid system. Understanding this architecture explains how it strikes a balance between decentralization and user experience.



Let's unpack each layer.

Blockchain layer: Polygon network. Polymarket runs on Polygon (an Ethereum Layer 2 scaling network) for practical reasons: low gas fees, fast transactions, and full compatibility with the Ethereum ecosystem. For users, transaction costs are negligible.

Settlement token: USDC. All trades are denominated and settled in USDC (a USD stablecoin). This is a deliberate choice — by not using a native platform token, it lowers the learning curve for new users. Think of USDC as "dollars on-chain."

Order book: Hybrid Central Limit Order Book (CLOB). This is the most elegant part of the architecture. Unlike most DeFi projects that use AMMs (Automated Market Makers), Polymarket uses the traditional order book model: buyers and sellers post orders and match directly, rather than trading against a liquidity pool.

> **Key Insight**
>
> **Why not AMM?** Because prediction market contracts can only resolve to 0 or 1, AMMs are extremely inefficient for this binary structure. An order book provides tighter bid-ask spreads, making trades cheaper and liquidity deeper.

"Hybrid" means: order matching happens off-chain (on backend servers) for speed and user experience, while actual fund settlement and token delivery happen on-chain (via smart contracts) for transparency and verifiability. It's a pragmatic compromise. A purely on-chain order book would be too slow; purely off-chain would sacrifice blockchain's trust advantages.

Smart contract layer: Gnosis Conditional Tokens Framework. The Yes/No shares users buy are technically ERC-1155 tokens minted via Gnosis's conditional token framework. Deposit 1 USDC, and the smart contract mints 1 Yes token and 1 No token, whose combined value always equals 1 USDC.

From a $1.4M Fine to a $9B Valuation: A Wild Funding Curve

Polymarket's funding history could fill a business thriller all by itself.

1. **2020-2021 • Seed Stage**

   Coplan started building in his Lower East Side apartment and secured early seed funding. Investors included a cohort of crypto-native funds who would become key supporters. The platform went live and began acquiring early users.

2. **January 2022 • CFTC Fine & "Exile"**

   The U.S. Commodity Futures Trading Commission (CFTC) found that Polymarket had operated as an unregistered designated contract market (DCM) and imposed a $1.4 million fine. Polymarket was forced to geoblock U.S. users. This was the lowest point in the entire story — a New York company banned from its home country's market by its own regulator.

3. **May 2024 • Series B**

   Founders Fund (Peter Thiel's firm) led, with Vitalik Buterin participating. The round raised $45 million at a $350 million valuation. A previously undisclosed $205 million in earlier funding was also revealed. The market began taking Polymarket seriously.

4. **November 2024 • The Defining Moment**

   Trading volume surged during the U.S. election, with total bets exceeding $3.3 billion — the largest single prediction market event in human history. Polymarket's prediction of Trump's victory outperformed virtually all major polls. Global media scrambled to cover it; CNN declared "prediction markets saw what polls and pundits missed."

5. **May-July 2025 • Series C & Path to Compliance**

   Founders Fund led the Series C again, raising $150 million at a $1.2 billion valuation. In July, both the DOJ and CFTC terminated their investigations into Polymarket. That same month, Polymarket acquired CFTC-licensed exchange QCEX for $112 million, paving the way for its U.S. comeback.

6 **September-November 2025 • Return to America**

In September, the CFTC issued a no-action letter, approving Polymarket to launch U.S. operations. In October, ICE (parent company of the NYSE) invested $2 billion, catapulting the valuation to $9 billion. Coplan appeared on the Bloomberg Billionaires Index as the youngest self-made billionaire, with Forbes estimating his net worth at $1 billion. In November, the CFTC formally granted Polymarket designated contract market (DCM) status.

7 **March 2026 • Triple Advance**

On March 27, ICE added another $600 million, bringing its cumulative investment to nearly $2 billion. That same month, Polymarket acquired DeFi infrastructure company Brahma to further strengthen its on-chain tech stack. Meanwhile, Polymarket was reportedly in talks for a new round at a $20 billion valuation. Secondary market implied valuations had already reached $11.6 billion. From a $1.4 million fine in 2022 to a target valuation of $20 billion in 2026 — a more than 10,000x increase in four years.

8 **March 2026 • Sports Empire Expansion**

Polymarket signed a 3-year, $300 million exclusive prediction market partnership with MLB (Major League Baseball). This is the largest sports partnership in prediction market history and marks Polymarket's official transformation from a political prediction platform into a full-category prediction market giant. Additionally, Polymarket integrated Palantir's AI monitoring system for market manipulation detection and anomalous trading identification, further aligning with traditional financial compliance standards.

Team & Advisors: A Deliberately Designed Trust Network

Polymarket's core team numbers about 188 people (as of early 2026) — lean for a platform valued at nearly $10 billion. But what's truly noteworthy is its advisory team, where every appointment has a clear strategic purpose.

Person	Role	Background	Strategic Value
Shayne Coplan	Founder & CEO	NYU dropout, ETH ICO participant at 16	Product vision, technical direction
J. Christopher Giancarlo	Advisory Board Chair	Former CFTC Chairman, dubbed "Crypto Dad"	The strongest endorsement for regulatory compliance. Hiring the former CFTC chair as an advisor after being fined by the CFTC is textbook regulatory relationship management
Nate Silver	Advisor	Founder of FiveThirtyEight, the most recognized brand in data-driven forecasting	Public trust endorsement. When the "king of polls" joins the prediction market camp, it's the best market education you could ask for
Naval Ravikant	Investor	Founder of AngelList, one of Silicon Valley's most influential angel investors	Top-tier Silicon Valley network and investment signaling
Peter Thiel (Founders Fund)	Led Series B + C	Co-founder of PayPal, founder of Palantir	Led two consecutive rounds, the most committed institutional backer

This roster covers virtually every stakeholder group that needs to be "won over": regulators (former CFTC chairman), public trust (Nate Silver), the crypto community (Vitalik Buterin participating), traditional finance (ICE/NYSE parent company), and Silicon Valley (Peter Thiel, Naval Ravikant). For a platform born in a regulatory gray zone to assemble a network like this speaks volumes.

Key Metrics at a Glance

Metric	Data	Timeframe / Notes
Total Funding	~$2.9 billion	Including ICE's additional $600M (Mar 27, 2026)
Latest Valuation	Target $20 billion	In negotiations as of March 2026
2024 Full-Year Volume	~$9 billion	Driven by U.S. election
2025 Full-Year Volume	~$22 billion	Sports markets as new growth engine
Peak Daily Volume	$425 million	February 28, 2026
Unique Traders	1.2M+	Full year 2024
Active Traders	450,000+	Early 2026
Countries Covered	180	2024 (including post-U.S. return)
Employees	~188	January 2026
Prediction Accuracy	94% at 4 hours pre-event	Official data (independent research: 67%)

Warning

An important footnote on trading volume: Crypto research firm Paradigm pointed out in December 2025 that Polymarket's volume is "double-counted" — both the buy side and sell side of each trade are counted separately. The actual independent trading volume may be only half the published figures. The volume figures in the table above use Polymarket's official numbers; readers can halve them for a conservative estimate.

Source: Paradigm, "Polymarket Volume is Being Double-Counted," December 2025

From the first line of code written by a 22-year-old dropout in a Lower East Side apartment, to a platform targeting a $20 billion valuation as the world's largest prediction market. Polymarket's story is itself a story about "betting": Coplan bet on the prediction market category, and each round of investors bet on Coplan.

So far, those bets appear to have paid off. But the creed of prediction markets also reminds us: probability is not certainty, and the favorite can still lose. Next, let's look at how to actually operate on the platform.

§03 The Defining Moment: 2024 U.S. Presidential Election

The Defining Moment: 2024 U.S. Presidential Election

> $3.3 billion. The largest single prediction market event in human history. On the night of November 5, 2024, Polymarket's performance forced the world's media, academics, and politicians to take "prediction markets" seriously.

Before the election, Polymarket was just a "crypto casino" in most people's eyes. After the election, CNN, the Wall Street Journal, and Bloomberg were racing to cite its data.

The story begins with a simple number: 58%.

When the Market and the Polls Told Different Stories

October 2024, less than a month before Election Day. Every major polling outlet — FiveThirtyEight, RealClearPolitics — was telling the same story: this was a dead-heat race. Harris and Trump's support levels were within the margin of error, essentially 50-50.

But Polymarket was telling a different story.

From mid-October onward, Trump's win probability on Polymarket held steady at 58%-60%, with Harris hovering at 40%-42%. A gap of nearly 20 percentage points. The market's verdict was clear: this was not a toss-up election.

Dimension	Polymarket	Major Polls
Pre-election forecast	Trump 58-60% vs Harris 40-42%	Near 50:50, gap within margin of error
Election night speed	Trump hit 95% before midnight	AP confirmed results hours later
Directional accuracy	Correct direction, close to final result	Severely underestimated Trump's advantage
Information source	Traders betting real money	Respondents giving verbal opinions

At the time, plenty of people mocked this number. "A crypto casino more accurate than professional polling firms?" Nate Silver, already a Polymarket advisor, acknowledged that some price movements were "larger

than reasonable."

But most people overlooked a critical distinction: polls measure "who people say they'll vote for," while Polymarket measures "who people are willing to put real money behind." The gap between saying and doing was, in fact, a core reason why the 2024 polls missed the mark.

Election Night: Called Before Midnight

The evening of November 5, 2024. U.S. Eastern Time.

As vote counting began, the probability curve on Polymarket started swinging wildly. Early returns poured in from key states like Florida and North Carolina, and Trump's win probability climbed steadily from 60%.

By 10 PM, it broke 80%. By 11 PM, 90%. Before midnight, Trump's probability on Polymarket had reached 95%.

At that point, the AP was nowhere near calling the race. CNN anchors were still cautiously discussing "the pace of vote counting in key swing states." FiveThirtyEight's model was still slowly adjusting its probabilities.

Polymarket "saw" the result hours before the AP.

Not because it had some secret information source, but because thousands of traders were simultaneously processing information from every channel: real-time data from local election boards, reports from polling stations across counties, firsthand observations on social media. And they voted with their wallets. That's far faster than any single media organization's editorial process.

> **CNN's verdict:** "Prediction markets saw what polls and pundits missed." This line appeared in the headline of a CNN Business report and became Polymarket's best advertising slogan.

The numbers back it up: November 2024 trading volume hit $2.63 billion, with peak open interest at $510 million — both all-time highs. Monthly active traders reached 314,500 in December. Q4 2024 alone added 500,000 new users, accounting for 45% of the year's total.

The election catapulted Polymarket from a niche crypto toy to a mainstream media source.

The French Whale: One Man and $30 Million

But this "victory" wasn't without controversy. At the center of the debate was a trader using the alias Fredi9999, later revealed by media to be a Frenchman named Theo.

Theo alone placed over $30 million on Polymarket, all on Trump to win. In the final weeks before the election, his position was large enough to single-handedly move market prices. When Polymarket showed Trump at 60%, how much of that was "collective wisdom" and how much was "one Frenchman's personal conviction"?

The question remains unresolved. Supporters say Theo was the quintessential "smart money" — he had his own polling model, conducted extensive independent research, and got the call right, earning a huge payout. Critics argue that when one trader holds such a large share of the market, the assumption that "market price = collective probability judgment" breaks down.

70% of trading volume came from 1% of users — roughly 12,000 "whale" traders. Is it "smart money leading the market" or "a few people manipulating prices"? This question runs through Polymarket's entire history, and the election put it on the biggest stage.

FBI Comes Knocking

The election was the high point, but a bucket of cold water arrived just 8 days later.

On November 13, 2024, the FBI raided founder Shayne Coplan's New York apartment and seized his phone. No arrest warrant, no public charges — just vague talk of "an ongoing investigation."

The crypto community erupted. Some saw it as government retaliation against prediction markets — after all, Polymarket had "called it right" during the election. Others speculated it was related to earlier CFTC violations.

The ending was anticlimactic: in July 2025, both the DOJ and CFTC formally dropped their investigations without filing any charges. Coplan was in the clear. But the episode reminded everyone: prediction markets' legal status in America remained a gray zone.

The Accuracy Debate: 94% or 67%?

After the election, the figure "Polymarket accuracy: 94%" went viral. It came from Polymarket's self-built accuracy tracking page, measuring how closely market prices (probabilities) matched final outcomes 4 hours before the event.

Time Window	Official Accuracy
4 hours before event	94%
12 hours before event	90%
1 day before event	88.5%
1 week before event	89%

Sources: Polymarket Accuracy page, The Defiant analysis

94% sounds impressive. But a 2024 independent study told a very different story:

Platform	Independent Research Accuracy
PredictIt	93%
Kalshi	78%
Polymarket	67%

Source: DL News, citing independent academic research

94% to 67% — quite a gap. The difference lies in methodology: the official figures primarily cover high-liquidity political markets (Polymarket's strong suit), while the independent study covered all market types, including cryptocurrency price predictions and tech trends — domains with inherently high uncertainty.

The most illustrative failure was the May 2025 papal conclave. Polymarket gave Pietro Parolin 63.5% and Luis Antonio Tagle 25.4%. The actual winner, Robert Prevost? A pre-election probability of just 0.3%. A one-in-three-hundred chance became reality.

PANews's analysis also pointed out that for crypto-related predictions (e.g., "Will token X break price Y by year-end?"), Polymarket's actual win rate was only 60% — barely better than a coin flip.

Prediction markets are not crystal balls. They are information aggregators. In markets with rich information, many participants, and deep liquidity (like the U.S. presidential election), they genuinely outperform traditional polls. But in domains with information asymmetry, few participants, or inherently high randomness, they're not much better than other methods. Understanding this is a prerequisite for understanding Polymarket.

§04 Getting Started: Registration, Deposits & Trading

Getting Started: Registration, Deposits & Trading

> This chapter is a pure hands-on manual. Every step from registration to your first trade is covered in detail. If you already have crypto experience, feel free to skip ahead to the trading section.

4.1 Three Ways to Register

Visit polymarket.com and click "Sign Up" in the upper right corner. Polymarket offers three registration methods — pick whichever suits you:

1. **Google Login (Recommended for Beginners)**
   Click "Continue with Google," authorize, and the system automatically creates a custodial wallet. No blockchain knowledge required — done in 30 seconds.

2. **Email Registration**
   Enter your email, and the system sends a verification email via MagicLink. Click the link in the email to log in — a wallet is also created automatically.

3. **Connect an Existing Wallet**
   Supports MetaMask, Phantom, Coinbase Wallet, WalletConnect, and other major wallets. Ideal for users with crypto experience who want to trade directly from their own wallet address.

After registration, set your username and agree to the terms of service. On your first trade, the system deploys a 1-of-1 multisig wallet (Proxy Wallet) on the Polygon chain — controlled by you, not by Polymarket. Polymarket cannot directly access your funds.

4.2 KYC (Identity Verification)

The Global and U.S. versions have entirely different KYC requirements:

Dimension	Global Version	U.S. Version
KYC Required	Generally not	Mandatory
Trigger	May trigger at high volume thresholds	Required at registration
Documents Needed	Varies	Full name, SSN, photo ID, proof of address within 90 days
Most Users	Won't encounter mandatory KYC	All users must complete KYC

This guide primarily covers the Global version. U.S. residents must complete the full KYC process for the U.S. version.

4.3 Deposit Methods Comparison

Polymarket uses USDC (a USD stablecoin) as its trading currency, running on the Polygon blockchain. You need to deposit funds before you can trade.

Deposit Method	Fees	Speed	Minimum Amount	Best For
Transfer USDC from Exchange	Very low (gas <$0.01)	Minutes	No hard limit	Users with crypto experience
MoonPay Credit Card	High (~4.5% + spread)	Instant	$20-30	Beginners, convenience
Coinbase Pay	Moderate	Fairly fast	Per Coinbase rules	Coinbase users
Cross-chain Bridge	Varies by bridge	Minutes	Depends on asset	Holders of ETH/BTC/SOL etc.

> **Cost-saving tip:** Transferring USDC from an exchange is the cheapest option. MoonPay is convenient, but the 4.5% fee means depositing $100 nets only $95.50 — the cost adds up over time.

4.4 Recommended Deposit Path (International Users)

For international users, the most cost-effective path uses a crypto exchange:

Detailed steps:

1. **Buy USDC on an Exchange**

   Using OKX as an example: Register an account -> Complete KYC -> Go to "Buy Crypto" -> Select P2P trading -> Purchase USDC with fiat currency. The process is similar on Binance.

2 **Get Your Polymarket Deposit Address**

Log into Polymarket -> Click "Deposit" -> Copy your wallet address. This address is linked to your account and is your unique deposit address.

3 **Withdraw from Exchange**

On the OKX/Binance withdrawal page, paste your Polymarket wallet address, and **make sure to select the Polygon network**. Don't choose the Ethereum mainnet — gas fees are higher and funds won't arrive directly.

4 **Wait for Arrival**

The Polygon network typically processes transactions within minutes. If you deposit native USDC (not USDC.e), the system automatically swaps it to USDC.e via a Uniswap pool with less than 10 basis points of slippage — no manual action needed.

4.5 Trading: Price Equals Probability

Understanding Polymarket comes down to one sentence: price equals probability.

> **Example:** A price of $0.65 = the market believes there's a 65% chance the event occurs. If you buy YES at $0.65 and the event happens, you receive $1.00 (net gain $0.35). If it doesn't happen, you lose $0.65. Buying NO at $0.35 works symmetrically.

Every market has "Yes" and "No" sides, with prices ranging from $0 to $1. You can sell your position at any time before settlement.

Market Order

Executes immediately at the current best price. Guarantees execution but may involve slippage. Simple to use: select market -> choose Yes/No -> enter amount -> confirm. Best when you want to enter a position quickly and don't mind a few cents of price difference.

Limit Order

Set a desired price and wait for the market to reach it. No guarantee of execution, but you get a better price. Supports partial fills and expiration times. Process: select market -> choose Yes/No -> switch to Limit -> enter price and quantity -> place order.

> **Key Insight**
>
> If you're not in a rush, use limit orders — they're more cost-effective than market orders. Especially in low-liquidity markets, the slippage on market orders can be significant.

4.6 Fee Structure

Polymarket has a clear edge on fees:

Platform	Maker Fee	Taker Fee	Notes
Polymarket Global	0%	0%	Currently completely fee-free
Polymarket US	0%	0.10%	$1 per $1,000 traded
Kalshi	~1.2%		12x Polymarket US

Polymarket itself charges no deposit or withdrawal fees, but there are costs along the way: exchange withdrawal fees, MoonPay's 4.5%, on-chain gas fees (negligible on Polygon), and exchange rate losses when converting USDC back to fiat.

4.7 Withdrawals

Made some money — how do you get it out? Three methods:

1. **Manual Withdrawal (Simplest)**

   Profile page -> Withdraw -> Enter amount -> Start Withdrawal. Takes about 6 hours to process.

2. **Direct Polygon Withdrawal (Recommended)**

   Select Polygon network, enter the destination wallet address (e.g., your exchange's Polygon-USDC deposit address). Fast and cheap.

3. **P2P Transfer**

   Enter another Polymarket wallet address and amount directly. Best for transfers between users, lowest cost.

Cash-out path: Withdraw USDC from Polymarket -> Exchange (Polygon network) -> Sell USDC for fiat -> Transfer to bank account. Always verify you're using the exchange's USDC deposit address and selecting the Polygon network. Sending to the wrong network can result in permanent loss of funds — this is not an exaggeration.

4.8 International Users: Important Notes

Warning

Risk notice: Several countries are on Polymarket's restricted list. The information below is for reference only and does not constitute a recommendation to use the platform.

Legal risk: Many jurisdictions have strict regulations on cryptocurrency trading and gambling. Polymarket may be classified as a gambling platform in some regions, meaning disputes cannot be resolved through normal legal channels.

Account risk: Users in restricted regions may need VPNs to access Polymarket. However, Polymarket actively detects VPN usage, and KYC information that doesn't match your IP location may trigger a review. Using a VPN itself violates Polymarket's Terms of Service, so accounts may be suspended at any time.

Financial risk: Depositing requires purchasing cryptocurrency, and withdrawing requires selling it through an exchange — both steps may be subject to anti-money laundering reviews. Large transactions may trigger bank risk controls.

Key Insight

Practical tips for newcomers (if you decide to participate):

1. **Start small**: Begin with $50-100 to learn the process — don't go heavy right away
2. **Deposit via exchanges**: Buy USDC on OKX/Binance -> Transfer via Polygon network, lowest fees
3. **Don't store large amounts**: Transfer only what you need, and withdraw profits promptly
4. **Pick liquid markets**: Focus on popular markets (elections, crypto prices, etc.) for lower slippage
5. **Safeguard your wallet**: Back up your seed phrase/private key offline — if lost, nobody can help
6. **Understand settlement**: Know how and when each market settles — don't hold positions past expiry without realizing it

§05 Who's Making Money: Whale Directory & Tracking Guide

Who's Making Money: Whale Directory & Tracking Guide

> On Polymarket, 80% of participants lose money. But a small group has earned jaw-dropping profits. Understanding who they are, how they win, and how to track their moves is your first survival lesson in this market.

The Brutal Truth: Most People Lose Money

Let's start with a cold splash of reality.

According to on-chain data analysis (covering 86 million+ transactions from April 2024 to December 2025), the profit distribution on Polymarket looks like this:

Metric	Data
Profitable wallets	7.6% (~120,000)
Wallets profiting over $1,000	Just 0.51%
Loss-making wallets	92.4% (1.5M+)
Whales (volume >$50,000)	Just 1.74%
Top traders' win rate	Typically 60-70% (not 90%+)

Memorize these numbers. **92.4% of participants lose money, and fewer than 0.51% profit more than $1,000.** This isn't meant to scare you — it's meant to set your expectations correctly. If you plan to participate, accept this fact first: most people in this market are paying the bill, not collecting the check.

But flip it around: how does that 7.6% win? And where does their money come from? Let's break down a few legendary accounts.

The Legendary Whale: Theo's $85 Million

The biggest winner in Polymarket history is a Frenchman named Theo.

A former Wall Street trader, Theo deployed over $30 million across **11 anonymous accounts** (including Fredi9999, Theo4, PrincessCaro, Michie, and others) during the 2024 U.S. election, ultimately harvesting approximately **$85 million** in profit.

His core weapon wasn't some quant model or insider tip. It was a deceptively simple move: **he spent less than $100,000 commissioning YouGov to conduct a set of "neighbor effect" polls in Pennsylvania, Michigan, and Wisconsin.**

What's a "neighbor effect" poll? Regular polls ask "Who will you vote for?" Theo's polls asked "Who do you think your neighbors will vote for?" This subtle difference bypassed respondents' social pressure and self-presentation concerns, capturing a signal that mainstream pollsters had missed: hidden Trump supporters were far more numerous than anyone expected.

> **Theo's logic chain**
>
> Proprietary polling data -> Discovered mainstream polls systematically biased toward Harris -> Concluded Polymarket was underpricing Trump's win probability -> Went massively long on Trump
>
> In the early hours of November 5, 2024, the Fredi9999 account alone had unrealized gains exceeding **$50 million**.

A $100,000 polling investment yielded $85 million in returns. This isn't luck — it's a textbook case of information arbitrage. What Theo did was fundamentally no different from what hedge funds do; his "alpha" just came from a sub-$100,000 proprietary poll, not some inscrutable quant strategy.

The Million-Dollar Club: Who Else Is Winning Big

Theo is the extreme case, but he's not the only winner. The leaderboard features a group of accounts with sustained profits exceeding $1 million. Their strategies differ, but they share one striking commonality.

Username	Total Profit	Primary Domain	Strategy Characteristics
HyperLiquid0xb	$1.4M+	Sports	Domain specialist, concentrated bets, largest single trade $755K (baseball)
1j59y6nk	~$1.4M	Sports/Gaming	Event timing judgment, tournament specialist
Erasmus	$1.3M+	Politics	Poll tracking + policy debate analysis + campaign momentum reads
WindWalk3	$1.1M+	Politics	Primarily bet on RFK Jr.-related markets
S-Works	~$1M	Sports	NBA specialist, largest single trade $231K
Axios	Six figures+	Niche markets	"Mention markets" specialist, **96% win rate**
@defiance_cr	$700-800/day	Market-making	Liquidity provision strategy, started with $10K and gradually optimized

Key Insight

Axios's story is worth highlighting. He focuses exclusively on an ultra-narrow category called "mention markets" (e.g., "Will a specific celebrity mention a certain topic on X?"). These markets have few participants and even fewer researchers, but Axios knows the domain inside and out. The result: a 96% win rate — virtually unheard of. He doesn't touch politics, doesn't touch sports — just this one thing.

A Key Finding: Specialists Crush Generalists

After reviewing that table, you've probably noticed: **the top earners on the leaderboard are almost all domain specialists.**

HyperLiquid0xb only does sports. Erasmus only does politics. WindWalk3 focuses exclusively on RFK Jr.-related markets. Axios only does mention markets. Not a single one is a "generalist" who trades everything.

On-chain data confirms this. When a top political trader ventures into sports markets, their performance is typically no better than random — and sometimes worse. Information advantage is highly domain-specific. The judgment you've built up in political markets can't simply transfer to the NBA or crypto.

This is both good news and bad news for aspiring participants.

Good news: you don't need to be a jack-of-all-trades. You just need to build an information edge in one domain you truly understand. Bad news: building that edge takes time, focus, and deep domain knowledge. There are no shortcuts.

> Warning
>
> **The Highest-Confidence Signal**
>
> Based on on-chain behavioral analysis, when **3 or more top wallets independently enter the same market and bet in the same direction**, this is the highest-confidence signal available. Large trades ($10K+) typically move market prices by 2-10%. During geopolitical crises, whale wallets react within minutes — their positions serve as real-time assessments of unfolding events.

Whale Tracking Toolkit

Now that you know who's making money, the next step is figuring out how to track their moves. The good news: Polymarket runs on Polygon, so all transactions are public. An ecosystem of 170+ tools, bots, and products has grown around this transparency.

Official Channels

Tool	Function
Polymarket Leaderboard	Monthly/all-time rankings, filter by profit/volume
Polymarket API	Programmatic access to leaderboard and trading data

The simplest manual method: go to any active market -> scroll to Top Holders -> hover to see profit -> filter for wallets with >2% profit rate -> click into their Profile to view their P&L curve and position history.

Core Three-Piece Toolkit

Tool	Core Function	Cost
Polywhaler	#1 whale tracker, real-time monitoring of $10K+ trades, insider trading detection	Free/Paid
PolyTrack	Whale tracking + P&L analysis + instant alerts + copy-trading	Free/Paid
Dune Analytics	On-chain data dashboards, track any wallet's complete transaction history	Free

A few Dune community dashboards worth bookmarking: rchen8/polymarket (volume and user trends), genejp999/polymarket-leaderboard (profit rankings), filarm/polymarket-activity (activity and volume). All community-built, free to use.

Chrome Extensions

Extension	Function
Polymarket Whale Tracker	In-browser whale tracking, configurable thresholds ($10K-$100K), notification intervals from real-time to 8 hours
WhaleSight	Open-source extension that overlays on-chain data directly on the Polymarket interface

Telegram Alerts

If you don't want to stare at a screen, Telegram bots can automatically push whale activity. Popular options include PolyIntel, DropsBot, PolyxBot, and PolySpy — auto-pushing every 10 minutes with market category filters. Nevua Markets also provides alerts across Telegram, Discord, and webhooks.

> **Key Insight**
>
> **Too many tools — how to choose?**
>
> Beginner combo: Polymarket Leaderboard (check weekly) + Polymarket Whale Tracker extension (set $10K threshold) + one Telegram bot. You don't need the full stack from day one. DeFi Prime maintains a list of 170+ tools — browse it when you have a specific need.

Seven Pitfalls of Copy-Trading

With tracking tools in hand, many people's first instinct is: find the most profitable wallet and copy their trades. Logical on paper, but full of traps in practice.

1. **Selecting Wallets by Total Profit Alone**

   A wallet showing $400K in total profit might owe it all to a single "chosen one" bet during the 2024 election. Past total profit doesn't predict future profitability. Monthly consistency and recent win rate matter far more than the headline number.

2. **Buying at a Lag**

   The whale bought at 35 cents, but by the time you see the trade, the price has already moved to 45 cents. For the same trade, the whale's expected return is 186%, yours is only 122%, and your downside risk is 10 percentage points worse. The time lag of copy-trading systematically erodes your returns.

3. **Not Understanding Their Thesis**

   A whale might buy into a market for ten different reasons — you only see the single signal that "they bought." Without understanding their thesis, you can't judge when to add to your position, when to cut losses, or when they may have already changed their mind.

4. **Whale Reverse Plays**

   If a whale knows many people are auto-copying their trades, they can deliberately create "trap trades": buy to push the price up, wait for copiers to pile in, then sell. On-chain data is transparent, but motives are not.

5. **Quitting During Drawdowns**

   Even Top 10 leaderboard wallets have streaks of 5-10 consecutive losses. If you abandon copy-trading during their downswing, you've absorbed the losses without benefiting from the recovery. Copy-trading needs a long enough time window to show its statistical edge.

6. **Over-Diversification**

   Copying 15 wallets simultaneously sounds prudent but actually dilutes the best ideas. Top wallets often contradict each other — A says up, B says down — and following all of them equals following none. Stick to 3-5 high-quality wallets.

7

Ignoring Fees and Spreads

Whales' large orders get better spreads; your smaller orders may face wider bid-ask spreads. Add in the cumulative fees from frequent trading, and profits get chipped away bit by bit. This is especially true for cross-platform arbitrage, where fees can completely wipe out what's theoretically a risk-free return.

The Basket Method: Best Copy-Trading Practice

After all those pitfalls, can copy-trading actually work? Yes, but you need the right approach.

On-chain research suggests the best practice is the **"basket method"**: don't copy individual wallets — follow the "consensus" of a wallet portfolio.

Basket Method Workflow

Step 1: Select 5-10 high-profit wallets that are active in your domain of interest and have recently stable performance

Step 2: Monitor them using PolyTrack or Polywhaler

Step 3: Only consider entering when **80% or more** (e.g., 4 out of 5) independently enter the same market betting in the same direction

Step 4: Limit each trade to 5-10% of total capital, while maintaining 20-40% cash reserves

Step 5: Periodically (monthly) review each wallet in your basket, drop underperformers, and add new ones

Why is the basket method better than copying individuals? Because it leverages "collective wisdom" rather than "individual judgment." A single whale might err due to emotion, fatigue, or an information blind spot, but the probability of five independent judges all making the same mistake is much lower.

One more important distinction: **prioritize "profit leaders" over "volume leaders."** High volume only means frequent trading or large capital — it doesn't imply genuine directional edge. Consistent profit growth is the real evidence of judgment.

Warning

Copy-trading isn't an investment strategy — it's a learning tool

The real value of copy-trading isn't making money (most copiers also lose). It's learning. Observing top traders' market selection, entry timing, position sizing, and exit strategies is more educational than any tutorial. Treat copy-trading as "paid tuition" rather than "passive income," and your expectations will be much healthier.

The ultimate goal is to build your own information edge and decision framework, not to permanently rely on someone else's judgment.

§06 Six Keys: Battle-Tested Strategies That Actually Work

Six Keys: Battle-Tested Strategies That Actually Work

> There is no universal formula. Analysis of 86 million on-chain transactions tells us: there are exactly six ways to make money, and each demands entirely different abilities, capital, and temperament. Finding the one key that fits you matters more than holding all six.

Why "Six Keys"

ChainCatcher's research team analyzed all on-chain data on Polymarket from April 2024 to December 2025 — over 86 million transactions in total — and distilled six proven profit models. These aren't theoretical constructs; they're reverse-engineered from real-money profit-and-loss records.

But first, a brutal premise: **80% of participants lose money**. Only 7.6% of wallets are profitable, and just 0.51% have PnL exceeding $1,000. That means out of every 200 participants, perhaps only 1 earns anything meaningful. The million-dollar accounts on the leaderboard are survivors among survivors.

Keep this context in mind as you read about the strategies — it'll keep your expectations healthy.

Strategy 1: Information Arbitrage

This is the single most profitable strategy in Polymarket's history — and the highest barrier to entry.

The principle is straightforward: discover a systematic mispricing in the market through original research, then bet heavily on it.

The poster child is the French trader Theo. During the 2024 U.S. election, he spent under $100,000 commissioning YouGov to run a special "neighbor effect" poll in Pennsylvania, Michigan, and Wisconsin. Instead of asking "Who will you vote for?", the poll asked "Who do you think your neighbors will vote for?" This seemingly minor phrasing difference revealed that mainstream polls were systematically underestimating Trump's support.

Through 11 anonymous accounts (Fredi9999, Theo4, PrincessCaro, etc.), Theo deployed over $30 million long on Trump's victory. **Final profit: approximately $85 million**. In the early hours of November 5, 2024, the Fredi9999 account alone had unrealized gains exceeding $50 million.

> **The essence of information arbitrage**
>
> It's not "knowing something nobody else knows" (that's insider trading). It's "processing publicly available information with a better methodology." Theo's polling data was publicly commissioned and legally obtained — he simply asked smarter questions than every mainstream polling organization.
>
> Research investment under $100K, return $85M. The leverage isn't in capital — it's in cognition.

Barrier to entry: Extremely high. Requires original methodology, substantial capital (tens of millions), and the psychological resilience to hold your conviction through extreme market volatility. For ordinary participants, this is a case study for understanding the market, not a strategy to replicate.

Strategy 2: Cross-Platform Arbitrage

The lowest barrier and simplest logic of all six strategies.

Principle: the same event may be priced differently across prediction market platforms. If the prices on two platforms sum to less than $1, you profit from the spread regardless of the outcome.

> **Example: BTC Price Prediction**
>
> Polymarket "BTC breaks $100K by year-end" Yes share = $0.45
> Kalshi same event No share = $0.48
> Buy both simultaneously, cost = $0.93
>
> Regardless of whether BTC breaks $100K, one side always settles at $1.00.
> Locked-in profit = $1.00 - $0.93 = **$0.07 (7.5% risk-free return)**

From April 2024 to April 2025, cross-platform arbitrage traders earned over $40 million in total, with the top three wallets earning $4.2 million combined.

Risk: Appears "risk-free," but there's one critical trap: **different platforms may use different settlement definitions**. For example, Polymarket uses CoinGecko prices while Kalshi uses CME futures prices — during extreme volatility, these can yield different settlement results, breaking the hedge protection.

Barrier to entry: Lowest. Requires accounts on multiple platforms (at least Polymarket + Kalshi), basic capital, and enough patience to monitor price discrepancies.

Strategy 3: High-Certainty Bonds

If you're after stability rather than windfalls, this may be the best starting point for beginners.

Principle: buy "near-certain" event shares priced above $0.95 and hold them like short-term bonds. When the event settles, you collect $1.00, pocketing the ~5% spread. Sounds modest, but if the settlement window is just a few days, the annualized return is extraordinary.

Example: Federal Reserve Rate Decision

Three days before an FOMC announcement, the market is highly confident in a 25 basis point cut.
"Cut 25bp" Yes share = $0.95
Three days later, the cut is confirmed, share settles at $1.00
72-hour return = 5.2%
If you can execute 50-60 similar trades annually, the theoretical annualized return exceeds 1,800%.

Some traders reportedly earn $150K+ per year using this strategy alone.

Risk: Black swans. A $0.95 share means the market assigns a 95% probability — but when that 5% hits, you don't lose 5%, you lose 95%. A single surprise can wipe out dozens of wins. Multiple "95% certainty" events went wrong in 2024.

Key Insight

Beginner recommendation: Start here. Low capital requirements, simple logic, no deep analytical skills needed. The key is strict discipline: only buy shares above $0.95, don't get greedy for higher-yielding lower-priced shares, and keep positions diversified.

Barrier to entry: Lowest. What's required isn't intelligence — it's patience and discipline.

Strategy 4: Liquidity Provision / Market-Making

Principle: simultaneously post buy and sell orders on the order book and earn the bid-ask spread. You're not exposed to event outcome risk — whether it resolves Yes or No, you earn on each trade's spread.

The exemplary case is @defiance_cr, a trader who publicly shared his market-making experience. Starting with $10,000, his initial daily income was about $200. Through continuous optimization of pricing strategy and inventory management, he eventually stabilized at $700-800 per day.

In newly launched markets (thin liquidity, wide spreads), annualized returns can reach 80-200%.

Current state: Post-2024 election, market-making returns have visibly declined. The reason: intensifying competition — more professional market makers and bots have entered, compressing spreads to razor-thin margins. Meanwhile, infrastructure costs (servers, APIs, monitoring systems) are rising.

Barrier to entry: Moderate. Requires understanding market microstructure (order books, inventory risk), some technical ability (at least writing scripts to auto-post orders), and ongoing maintenance.

Strategy 5: Domain Specialization

If information arbitrage is the "genius strategy," domain specialization is the "diligence strategy." It's also the most frequently observed profit model on the leaderboard.

Principle: build an information edge in one ultra-narrow domain. Trade infrequently, bet with high conviction.

Representative cases:

Account	Domain	Profit	Characteristics
HyperLiquid0xb	Sports (primarily baseball)	$1.4M+	Largest single trade $755K, highly concentrated bets
Axios	Mention Markets	Six figures+	96% win rate, exclusively trades "Will X mention Y in speech Z?" markets
Erasmus	Politics	$1.3M+	Poll tracking + policy debate analysis + campaign momentum reads
S-Works	NBA	~$1M	Largest single trade $231K, sports market specialist

Their common trait: **only 10-30 trades per year**, but each with high conviction (60-70% win rate) and willingness to allocate 20-40% of capital to a single position.

> **The leaderboard's top earners are almost all "specialists," not "generalists."**
>
> A wallet specialized in politics that ventures into sports typically loses money. And vice versa. This echoes Buffett's "circle of competence" — knowing what you don't know is more important than knowing what you do.

Barrier to entry: Highest time investment. You need to accumulate expertise in a domain until you're "more knowledgeable than most other participants" — this may take months or even years. But the upside: once you establish an information edge, others can't easily replicate it.

Strategy 6: Speed Trading

This is the bots' battlefield. Humans have virtually no place here.

Principle: exploit information windows measured in milliseconds to minutes, trading before the market finishes repricing. Typical scenarios include breaking news and central bank announcements.

Example: Powell says something hinting at a rate cut during a press conference, and within 8 seconds, the relevant contract on Polymarket jumps from $0.65 to $0.78. Those who managed to place orders in those 8 seconds earned 20%; everyone else bought at the new price.

The top algorithmic traders (~10-20 accounts) earned a combined $4.2 million in profit across 10,200+ speed trades.

Current state: Already an arms race. Institutional-grade low-latency trading systems, dedicated fiber connections, co-location servers — the standard toolkit of traditional finance is now migrating to prediction markets. A retail trader using a browser to place manual orders has zero competitive chance on the speed dimension.

Barrier to entry: Extremely high. Requires strong technical background, trading system development skills, and continuous infrastructure investment.

Strategy Difficulty Ladder

The six strategies, ranked by barrier and risk, form a clear difficulty ladder:

Strategy	Starting Capital	Technical Req.	Time Investment	Expected Annualized	Best For
High-Certainty Bonds	$100+	None	Low	20-100%	Best for beginners
Cross-Platform Arbitrage	$1,000+	Low	Medium	15-50%	Multi-platform users
Liquidity Provision	$5,000+	Medium	High	80-200%	Programmers
Domain Specialization	$1,000+	Low	Very High	50-300%+	Deep domain experts
Speed Trading	$10,000+	Very High	High	Uncertain	Professional algo traders
Information Arbitrage	$100,000+	Medium	Very High	Uncertain	Original researchers + large capital

Warning

An honest note about "expected annualized returns"

The annualized figures in the table above come from public reports and leaderboard analysis, but suffer from severe survivorship bias. You see the winners' returns — you don't see the 80% who lost money. Treating any "expected annualized" figure as a guaranteed return is dangerous.

Position Management: Not Advice — Discipline

Observing the long-term profitable accounts on the leaderboard, their position management shows remarkably consistent patterns:

Dimension	Recommended	Why
Concurrent positions	6-10	Diversified enough, yet manageable to track
Cash reserves	20-40%	New opportunities appear anytime — no cash means you can only watch
Single-trade risk cap	5-10% of total capital	10 consecutive losses won't knock you out
Optimal entry price	$0.30-$0.55 range	Best risk/reward ratio: right = double, wrong = lose half

The $0.30-$0.55 range is the "value entry zone" because market uncertainty is highest at these prices — and your judgment (if you have one) can make the biggest difference. At $0.90, the market has already largely determined the outcome; your information edge is unlikely to beat the consensus.

Three Shared Traits of Successful Traders

After analyzing the top 50 long-term profitable accounts on the leaderboard, ChainCatcher's report identified three common traits. Note: "predictive ability" is not one of them.

First, systematically capturing mispricings. They're not gambling on whether something will happen — they're assessing whether the market's current price is accurate. If you believe an event has a 70% probability but the market prices it at 50%, that's a 20-percentage-point mispricing worth betting on.

Second, obsessive risk management. Top traders typically have a 60-70% win rate — not 90%. They make money not because they predict more accurately, but because they earn more on their wins than they lose on their misses, all while keeping single-trade risk under 10% of total capital.

Third, patiently building information edges in a single domain. Virtually every million-dollar account on the leaderboard operates in "one domain, one market type." HyperLiquid0xb only does baseball. Axios only does mention markets. Erasmus only does politics. When a whale wallet trades outside its domain, its win rate drops to roughly that of an ordinary retail trader.

Learning Path: Three Stages

If you plan to seriously participate on Polymarket, here's a proven learning path. Not the fastest, but the safest.

1. **Stage 1: Observe (1-2 weeks)**
   Don't invest a single dollar. Spend 30 minutes daily reviewing the leaderboard and whale activity. Understand the trading rhythm and volatility characteristics of different market categories (politics, sports, crypto, tech). Study 5-10 top wallets' historical trades using Polymarket Analytics. The goal: figure out where the money comes from and where it goes.

2. **Stage 2: Small-Scale Practice (1-3 months)**
   Start with the high-certainty bond strategy using an amount you can afford to lose entirely ($100-500). Only buy shares above $0.95, and keep each trade under 10% of total capital. The goal isn't to make money — it's to build a feel for market rhythm. Simultaneously, start identifying 1-2 niche domains where you have an information advantage.

3. **Stage 3: Domain Specialization**
   Go deep in one vertical domain and build an information edge. Use PolyTrack to follow that domain's top traders and learn their trading patterns and timing. Gradually increase your position sizes, but always maintain 20-40% cash reserves. When your win rate in a domain stabilizes above 60%, you've found your key.

> **Key Insight**
>
> **The right way to copy-trade: the basket method**
>
> If you want to learn by tracking top wallets, don't fixate on one person. Select 5-10 wallets that perform best in your domain of interest, and apply the "80% consensus rule": only consider entering when 80% of the wallets bet in the same direction.
>
> Consensus beats individual copy-trading. Any single wallet's next trade might be a mistake, but five independent wallets simultaneously seeing the same opportunity is an entirely different signal.

Six keys, for six different combinations of ability, temperament, and resources. Most people will eventually discover that only one or two truly fit them. And the process of finding that key is itself the most valuable learning experience in prediction markets.

§07 The AI Arms Race: When Bots Take Over Prediction Markets

The AI Arms Race: When Bots Take Over Prediction Markets

> Of the top 20 most profitable wallets on Polymarket's leaderboard, 14 are bots. Over 30% of active wallets are already using AI agents. This isn't a prediction — it's the reality as of March 2026.

An Irreversible Fact

In March 2026, a Claude-powered trading bot started with $313 and turned it into $438,000 within a month. During the same period, another bot turned $1,000 into $14,216 in 48 hours — a 1,322% return. And another turned $2,000 into $75,000 in a single day.

These numbers look like scams, but they all come from verifiable on-chain transaction records.

What's more noteworthy than these outliers is the overall trend: Polymarket itself open-sourced an AI agent development framework (2,700+ stars on GitHub), actively inviting bots into the arena. The platform isn't fighting automation — it's embracing it.

The Bot Ecosystem at a Glance

By 2026, the Polymarket bot ecosystem has grown into a complete supply chain — from official frameworks to third-party products to individual developers' open-source projects — covering everything from beginner to professional grade.

Polymarket Official: Agents Framework. A Python 3.9 + LangChain + Chroma vector database tech stack, using the OpenAI API for reasoning and the CLOB client for trade execution. Over 2,700 GitHub stars and 600+ forks. This is the foundational infrastructure for the entire bot ecosystem. Polymarket's message is clear: we don't ban bots — we give you the tools.

PolyClaw: A Polymarket Skill from the OpenClaw Ecosystem. Developed by the Chainstack team, it can browse markets, execute trades, track positions, and discover hedging opportunities. Technically, it uses a Split + CLOB execution strategy — splitting USDC into Yes and No tokens, then selling the unwanted side on the order book. It also integrates an LLM (NVIDIA's Nemotron-Nano model) to analyze cross-market hedging relationships.

The Claude Bot Wave. March 2026 was a watershed moment. Developers began building Polymarket trading bots with Claude en masse, and the results were widely reported:

Case	Starting Capital	Result	Timeframe	Core Strategy
0x8dxd wallet	$313	$438,000	1 month	Latency arbitrage
Claude Bot A	$1,000	$14,216	48 hours	Multi-strategy
Claude + Cursor Bot	$2,000	$75,000	1 day	Multi-model integration
Integrated Probability Model Bot	Undisclosed	$2.2M profit	2 months	Trained on news + social data

Polystrat: A Professional AI Agent Product. Launched in February 2026 by Pearl platform, positioned as a 24/7 autonomous trading agent. Executed over 4,200 trades within its first month, with a peak single-trade return of 376%. Users define high-level goals in natural language (e.g., "find low-risk arbitrage opportunities in sports markets"), and the agent autonomously selects markets and executes strategies. Wallet private keys remain with the user — the agent is purely the execution layer.

Open-Source Fully Automated Bot. The most mature open-source project on GitHub integrates three models: GPT-4o (40% weight), Claude (35%), and Gemini (25%). The weights aren't fixed — the system

dynamically adjusts them based on each model's historical Brier score across different categories. It includes 15+ risk control checks, defaults to paper trading mode, and requires passing three independent gates before switching to live trading.

Four-Layer Architecture: How Bots Make Decisions

Regardless of which bot, the underlying architecture is broadly similar and can be understood in four layers. This is the core technical content of AI trading bots.

1. **Data Layer: Eyes and Ears**

   Bots must simultaneously monitor multiple data sources: Polymarket's Gamma API (market listings and live odds), CLOB WebSocket (real-time order flow), Polygon on-chain data (wallet balances and token flows), news APIs (Bloomberg, Reuters), and social data (X/Twitter sentiment analysis). The better the bot, the more data sources it taps and the faster it reacts.

2. **Decision Layer: The Brain**

   The mainstream approach is multi-model ensemble voting. Multiple LLMs independently predict event probabilities, and results are aggregated via trimmed mean or weighted average, with weights dynamically adjusted by historical Brier score — whichever model predicts more accurately for a given category gets more say.

   There are four decision types: **Probability deviation trading** (market prices at 40% but model says 60% -> buy); **Latency arbitrage** (trading before Polymarket's pricing engine reacts); **News-driven** (real-time news -> AI impact analysis -> trade before repricing); **Hedge discovery** (LLM analyzes logical relationships between markets, seeking inverse position combinations).

3. **Execution Layer: Hands and Feet**

   Signed orders are submitted via the CLOB (note: the feeRateBps field must be included, or the order is rejected outright). Mature bots select execution strategies based on order size: Simple (single limit order) for small orders, TWAP (time-weighted slicing to avoid market impact) for large orders, and Iceberg (showing only 20% of true order volume) for very large orders.

4. **Risk Control Layer: The Brakes**

   This layer determines whether a bot is a money-making tool or a money-losing machine. Standard features of mature bots include: kill switch (one-click halt all trading), auto stop-loss at 20% max drawdown, four-tier intensity system (Normal -> Warning -> Critical -> Max), per-market position limits, daily loss caps, and a minimum 4% net margin requirement (don't trade if post-fee return is below 4%).

Polarization: 14 Bots vs. 1.5 Million Losing Wallets

The bot era on Polymarket is producing extreme polarization.

On one side, the elite numbers: 14 of the top 20 leaderboard spots are bots; $313 turned into $438K; $2.2 million profit in two months. On the same arbitrage strategies, bots' profit ($206,000) is nearly double that of humans (~$100,000), with win rates above 85%.

On the other side, the aggregate data: **92.4% of wallets are losing money**, only 7.6% are profitable, and just 0.51% have profits exceeding $1,000. About 120,000 wallets are making money; over 1.5 million are losing.

> **A sobering comparison**
>
> Data from Polystrat (Pearl platform's AI agent product) shows that 37% of wallets using AI agents achieved positive PnL. Among human participants, the positive PnL rate is less than half that (using the platform-wide 7.6% figure).
>
> AI does improve the win rate, but 37% profitability still means 63% are losing. Even with the most advanced AI tools, losing money remains the most likely outcome.

The more critical trend is the continuously deteriorating competitive environment.

Metric	2024	2026 Q1	Change
Average arbitrage window	12.3 seconds	2.7 seconds	Compressed 78%
Sub-100ms bots' share of profit	—	73%	Absolute dominance
Median arbitrage spread	—	0.3%	Nearly unprofitable

The arbitrage window has compressed from 12.3 seconds to 2.7 seconds, and 73% of arbitrage profits are captured by sub-100-millisecond bots. If your bot's reaction time exceeds 100 milliseconds, you can't even get table scraps.

February 2026: Rule Changes

Facing the escalating bot arms race, Polymarket made a major rule adjustment on February 18, 2026. The approach was clear: don't ban bots, but reshape the rules of the game.

Removal of the 500ms Taker Delay. Previously, Polymarket had a 500-millisecond buffer period during which market makers could withdraw orders. This was designed to protect market makers, but in practice it created more opportunities for arbitrage bots (detect + order + fill within 500ms). After removal, taker orders execute instantly, making competition more direct.

Introduction of Dynamic Taker Fees. 15-minute and 5-minute crypto markets now charge taker fees, calculated as `Fee = C x 0.25 x (p x (1 - p))^2`, peaking at approximately 1.56%. This directly squeezes the profit margin of high-frequency arbitrage — if your strategy's edge is only 1%, subtracting a 1.56% fee means you're losing money.

200ms Threshold. If a market maker's cancel-and-repost interval exceeds 200 milliseconds, others can fill at the stale price within that window, creating adverse selection risk. This forces market-making bots to update prices within 200ms.

> Key Insight
>
> **Polymarket's strategic logic**
>
> The essence of these adjustments: transforming Polymarket from a "retail gambling platform" into a "professional prediction market." It mirrors the evolution of traditional financial markets — not banning algorithmic trading, but using fees and technical thresholds to eliminate low-quality participants and improve market pricing efficiency.
>
> For retail traders, this means the window for pure arbitrage strategies is shrinking. But for participants with genuine domain expertise, improved pricing efficiency is actually a positive — because once noise traders are cleared out, truly informed judgments earn better returns.

Three Pieces of Advice for Ordinary People

If you're not a professional algorithmic trader, facing a bot-dominated Polymarket, these three pieces of advice may matter more than any strategy.

First, don't try to out-speed the bots. Arbitrage windows have compressed to 2.7 seconds, and 73% of profits go to sub-100ms bots. Humans have zero competitive edge on the speed dimension. Any strategy based on "fast reactions" — rushing to trade when news breaks, immediately acting on price movements — is simply handing money to bots on the 2026 Polymarket.

Second, use AI to assist decisions, not to auto-execute. AI excels at processing large volumes of information and producing probability estimates, not at making millisecond-level trading decisions. Using ChatGPT or Claude to help you analyze an event's probability is safer and more effective than letting a bot trade fully autonomously. Keep decision-making authority with yourself — let AI be a research assistant, not a fund manager.

Third, domain specialization > algorithmic speed. As detailed in the previous chapter: the leaderboard's top earners are almost all domain specialists. Bots crush humans in information processing speed, but in deep judgment within specific domains, human experts still have an edge. Someone who has followed NCAA basketball for a decade brings an understanding of injuries, coaching tactics, and player form that no general-purpose AI model can currently match.

> Warning
>
> **Risk Warning on Bot Trading**
>
> Those "$313-to-$438K" stories have severe survivorship bias. You see the 14 top bot wallets that survived — you don't see the thousands of bot wallets that lost money. The 92.4% losing wallet figure includes many wallets using AI agents.
>
> Bots are not money printers. They simply execute your strategy faster and more precisely. If the underlying strategy is flawed, a bot will just help you lose money faster.
>
> Additionally, Polymarket's Terms of Service prohibit U.S. residents and users in certain regions from trading, and storing private keys in environment variables poses security risks. Before attempting any bot trading, fully understand the legal and technical risks involved.

Prediction markets are evolving from "an arena for human judgment" to "an arena for human-machine collaboration." Bots won't disappear — they'll only become more numerous and more powerful. But this

doesn't mean humans have no place. Quite the opposite: once noise traders are cleared by bots, human experts with genuine deep judgment may actually find a better pricing environment.

The key question isn't "whether to use AI," but "how to use AI to sharpen your own judgment."

§08 The Dark Side: Manipulation, Insider Trading & Losses

The Dark Side: Manipulation, Insider Trading & Losses

> Behind every profit story, far more people quietly exit at a loss. Polymarket is no ATM. Its decentralized mechanisms are both its greatest strength and its biggest vulnerability. More unsettling still: when military secrets and political intelligence can be turned into betting chips, where are the boundaries of this "truth machine"?

The Israeli Military Leak: The Most Dramatic Episode

In February 2026, Israeli authorities arrested and charged two individuals: a civilian and a military reservist. The charge wasn't leaking state secrets — though they did — but profiting from classified military information by trading on Polymarket.

Here's what happened. The reservist attended a classified briefing about the timing of a military strike on Iran. Afterward, he did something that many might consider but absolutely shouldn't: he tipped off his friend. The friend then placed bets on Iran-related markets on Polymarket. Together they netted $163,000, which they split.

$163,000 sounds like a lot, but it's just the tip of the iceberg.

CNN's March 2026 investigation uncovered a far larger picture: one trader had, since 2024, placed dozens of precisely timed bets on Iran-related military operations, accumulating nearly $1 million in profits. On trades exceeding $10,000, this individual had a 93% win rate. What does 93% mean? In the inherently uncertain world of prediction markets, sustaining a 93% hit rate either means you're a once-in-a-millennium genius, or you know the answer in advance.

The Israeli case matters not just because of the dollar amounts. It provided the first hard evidence of something many had suspected but couldn't prove: **prediction markets are becoming channels for monetizing intelligence**. Military secrets, diplomatic intelligence, law enforcement operations — anyone with advance knowledge of outcomes can quietly convert that information advantage into money. And because of on-chain transaction anonymity, tracking these activities is far harder than in traditional financial markets.

The Maduro Incident: Mysterious Bets Hours Before the Action

If the Israeli case was "retrospective discovery," the Maduro incident was "witnessed in real time."

In early 2026, the fate of Venezuelan President Maduro became a hot market on Polymarket. Just hours before the U.S. launched an operation to apprehend Maduro, a newly created account appeared and placed $32,000 betting that Maduro would be ousted.

A brand-new account. Created just hours before. Betting in the exact right direction.

The account ultimately profited over $430,000. A 13x return.

Nobody can prove what the account holder knew in advance. But the combination of "new account + precise timing + massive one-directional bet" is widely considered to exhibit the hallmarks of insider trading. If the same thing had happened on the New York Stock Exchange, the SEC would have opened an investigation that same day.

When the "Truth Machine" Gets Gamed: The UMA Oracle Incident

In March 2025, Polymarket experienced its most serious trust crisis since inception.

It happened on a seemingly ordinary market: "Will Ukraine agree to Trump's mineral deal before April?" Total volume: $7 million — not especially large. But the problem it exposed was enough to shake the platform's very foundations.

At the settlement deadline, no agreement had been formally signed. By all logic, this market should have settled as "No." But what happened next took everyone by surprise.

Polymarket uses the UMA protocol as its oracle — essentially, decentralized voting to determine "whether something happened or not." The problem: whoever holds UMA tokens has voting power. And the distribution of UMA tokens is extremely concentrated.

1. **Standard Settlement: Market Proposes "No"**
   When settlement time arrived, the proposer submitted the factual result: "No" — the agreement wasn't signed by the deadline. This should have been the end of it.

2. **A Whale Initiates a Dispute**
   A holder controlling roughly 25% of UMA voting power disputed the "No" result. Filing a dispute requires posting a bond, but for someone holding massive UMA tokens, that's pocket change.

3 **Concentrated Voting Power Flips the Result**

The dispute triggered a UMA governance vote. Just two whales, controlling over 50% of voting power, cast their votes in the final moments before the deadline, flipping the result from "No" to "Yes." Those who had submitted the factual "No" result not only had their judgment overruled — they lost their bond.

4 **Manipulators Profit and Exit**

The manipulators holding Yes shares are estimated to have profited $100,000-$300,000. The market result was finalized and irreversible. Polymarket's official response: no reversal, no compensation.

This incident exposed a fatal structural flaw: manipulating a UMA vote requires holding a large amount of UMA tokens (~$20 million), but the Polymarket assets that can be manipulated far exceed $1.4 billion. Spending $20 million to lever $1.4 billion creates a severely asymmetric cost-benefit equation.

> **Warning**
>
> The fundamental contradiction of the UMA oracle: the voters and the traders are the same people. When referees are also players, "decentralized truth discovery" becomes an empty phrase. Afterward, UMA raised the voting threshold to 65% and restricted settlement proposals to whitelisted addresses. But the structural problem remains unresolved.

Not Just UMA: A History of Settlement Disputes

The UMA incident wasn't isolated. Polymarket's settlement system has been a perennial source of controversy.

Event	Amount Involved	Issue	Date
Ukraine Mineral Deal (UMA manipulation)	$7 million	Whales used concentrated voting power to flip settlement result	Mar 2025
Fort Knox Gold Disappearance	$3.5 million	Manipulators settled market as No, stealing funds	Mar 2025
Israeli Military Intelligence Leak	$1M+	Used classified intelligence to trade; CNN tracked a 93% win-rate trader	2024-2026
Maduro Incident	$430,000	New account placed precision bets hours before the operation	Jan 2026
UFO Declassification Files	$16 million	Settled as Yes, but no files were actually released	Dec 2025
Settlement Exploit Attack	Unknown	Attacker placed orders via API then transferred USDC before on-chain settlement	Feb 2026

Sources: NPR, CNN, Orochi Network, ChainCatcher, The Block

Every controversy erodes user trust. You got the call right, you bought the right direction, and then someone either manipulated the settlement or you were trading against someone with inside information. That kind of experience is enough to make any rational person quit permanently.

25% Fake Volume: Columbia University's Bombshell Study

In November 2025, Columbia University published a widely discussed research paper (on SSRN; note it has not been peer-reviewed). The conclusion was explosive:

Over the past 3 years, approximately 25% of Polymarket's trading volume has been fake (wash trading).

Wash trading means the same person or affiliated accounts buy from and sell to themselves, creating fake trading activity. This is explicitly illegal in traditional financial markets, but extremely difficult to police on decentralized platforms.

Key findings:

Metric	Data
Average fake trading share	~25%
December 2024 peak	Nearly 60%
Sports market fake trading	45% (worst)
Election markets	17%
Political markets	12%
Crypto markets	3% (lowest)
Wallets engaged in wash trading	14% of 1.26 million wallets

Source: Columbia University / SSRN, November 2025 (not peer-reviewed)

The 45% fake volume in sports markets is particularly notable. Polymarket is going all-in on sports (MLB's 3-year, $300 million exclusive deal), and this happens to be the category where wash trading is most severe. Combined with Paradigm's December 2025 observation about "double-counting" (both buyer and seller sides counted separately), the "$12 billion monthly volume" figures you see may vastly overstate actual market activity.

Most People Lose Money

After manipulation and fake volumes, here's an even more painful data set.

On-chain data shows 92.4% of wallets are losing money.

Not 92.4% of trades, but 92.4% of participants overall. Only about 120,000 wallets are profitable, while over 1.5 million are in the red. Even more brutal: among the "winners," just 0.51% have profits exceeding $1,000. Most "winners" are winning so little it probably doesn't even cover their fees.

70% of volume comes from 1% of users. Profits are highly concentrated among a small number of professional traders and quant teams; most retail participants are essentially providing them with liquidity.

How $2 Million Was Lost

Here's a real case study. This trader made 53 trades with a 51% win rate — winning 27, losing 26. Sounds roughly break-even? But they lost over $2 million.

Three fatal mistakes.

First, oversized positions. Allocating a large share of capital to single events. Wins earned a little; losses cost a fortune.

Second, poor entry prices. The vast majority of trades were buying Yes shares in the $0.51-$0.67 range. Buying Yes at $0.60: win earns 67%, loss costs 100%. The odds are inherently stacked against you. This is actually the most treacherous entry zone on Polymarket: it feels like "probably going to win," but the payoff math is terrible.

Third, zero stop-losses. Every position was held to settlement, even as probabilities deteriorated. Polymarket shares can be sold before settlement, but this trader chose to hold through every loss.

The root cause was a cognitive error: interpreting a $0.66 Yes price as "66% chance of winning, probably fine," instead of "Is the true probability higher than 66%? Only if it is, does buying at this price make mathematical sense."

Risk Management: Surviving Is the Prerequisite for Earning

> **Key Insight**
>
> **Position Iron Rule:** No single event should exceed 3-5% of total capital. Had the $2M loss case above followed a 5% cap, the maximum loss would have been $100K. This rule sounds conservative, but it's the single biggest differentiator between professional traders and amateurs.

> **Key Insight**
>
> **Entry Discipline:** Don't casually enter at Yes prices above $0.55, unless you truly have an information edge on the event. Above $0.65 requires extremely strong conviction. Buying Yes at $0.65 — win earns 54%, loss costs 100% — you need more than 65% confidence for this trade to have positive expected value.

> **Key Insight**
>
> **Dynamic Stop-Loss and Take-Profit:** Don't hold to settlement no matter what. When new information causes a significant probability shift, adjust your position decisively. Take profits in tranches on winners; cut losers early. Polymarket shares can be bought and sold at any time — not leveraging this flexibility is leaving money on the table.

> **Key Insight**
>
> **Stay Within Your Competence:** Only trade in domains you understand. If you know AI, focus on AI markets. If you follow American politics, do political markets. It's better to skip domains you don't understand than to chase hot topics.

Polymarket's Response: Insider Trading Rule Update

Facing a string of scandals, Polymarket updated its insider trading rules on March 23, 2026. The new rules established three red lines:

Trading on stolen classified information is prohibited. Cases like the Israeli military leak now have an explicit rule basis.

Trading on illegally obtained information is prohibited. Broader in scope — not just "stolen" information, but any information obtained through illegal channels.

People who can influence outcomes are prohibited from trading. If you are a decision-maker (e.g., a government official), you cannot bet on related markets. Congressman Seth Moulton has already taken the

lead, prohibiting his staff from using prediction markets.

Rules are in place, but enforcement is another matter. On a decentralized on-chain platform, how do you identify "insider information"? How do you trace the real person behind an anonymous wallet? Polymarket has deployed Palantir's AI monitoring system (discussed in detail in § 09), but whether technical tools can keep pace with arbitrageurs' creativity remains an open question.

The Core Tension: Decentralization vs. Credibility

Stringing these incidents together, Polymarket faces a fundamental identity crisis.

It wants to be two things simultaneously: a "decentralized truth-discovery mechanism" that uses market forces and on-chain governance to determine facts; and a "regulated financial product" that operates legally in the U.S. under CFTC oversight, attracting mainstream users and institutional capital.

But these two goals are inherently contradictory.

The UMA incident proved how fragile decentralized governance can be. The Israeli and Maduro cases proved how anonymity can be exploited by intelligence operatives. Columbia's research showed how inflated the volume data is. The 92.4% losing wallet rate reveals the true situation for retail participants.

Every single problem pushes Polymarket toward more centralized control. More KYC, stricter monitoring, more concentrated settlement authority. These measures may indeed reduce manipulation and insider trading, but they also incrementally erode "decentralization" — the original value proposition.

> **A final word:** Discussing these dark sides isn't to discourage you from participating. It's to ensure you know the complete rules of the game before you enter. Oracles can be manipulated, military secrets can become betting chips, a quarter of the volume may be fake, 92% of participants are destined to lose, and regulations could shift at any moment. Knowing all this and still choosing to participate — at least you're doing so with clear eyes.

§09 The Prediction Market Wars: A New Era of Competition

The Prediction Market Wars: A New Era of Competition

> Polymarket targeting a $20 billion valuation. Kalshi at $22 billion. The two CEOs trade mocking memes while co-investing in a VC fund. Congress is preparing a bill that could take out both of them. Meanwhile, new players are flooding in from Solana, BNB Chain, and every other direction. The 2026 prediction market looks a lot like the 2015 ride-hailing wars.

The Duopoly: The Most Fascinating Competitive Relationship

If you had to describe the 2025-2026 prediction market landscape in one word, it would be "duopoly." Polymarket and Kalshi together command the lion's share of the industry. But their relationship is far more complex than simple competition.

Metric	Kalshi	Polymarket
Latest Valuation	$22 billion	Target $20 billion (in negotiations)
Latest Funding	$1 billion (Coatue-led)	$600 million (ICE follow-on)
Annualized Revenue	$1.5 billion	Undisclosed
2025 Trading Volume	~$18.5 billion	~$22 billion
Regulatory Status	CFTC Designated Contract Market (DCM)	Newly granted CFTC designation + QCEX license
Infrastructure	Centralized	On-chain (USDC + smart contracts)
Category Strengths	Sports / Economics	Politics / Geopolitics / Crypto
U.S. User Experience	More mature (bank transfers + Robinhood integration)	App in testing, invite-only

By the numbers, Kalshi holds a slight valuation lead ($22B vs. target $20B) and has publicly disclosed $1.5 billion in annualized revenue. But Polymarket has the edge in volume and international markets. The two occupy different ecological niches: Polymarket, with its crypto wallets, USDC settlement, and global operations, dominates information-intensive categories like politics, geopolitics, and crypto; Kalshi, with its CFTC license, bank transfers, and Robinhood integration, captures the mass-market entertainment categories like sports and economic events.

The relationship between the two CEOs is fascinating. After the FBI raided Polymarket founder Shayne Coplan's apartment in November 2024, Kalshi employees teamed up with influencers to post mocking memes. But then in March 2026, both CEOs jointly backed a $35 million prediction market-focused VC fund. Trash-talking and cooperating simultaneously — this subtle "co-opetition" shows they understand that growing the industry requires both of them. The two are even racing to trademark "World's Largest Prediction Market."

Kalshi: The Suit-Wearing "Regular Army"

Kalshi holds a CFTC-issued Designated Contract Market (DCM) license — the gold standard of regulatory approval in the U.S. prediction market space. With this license, Kalshi can legally operate in all 50 states, support bank transfers and debit card deposits, and list over 350,000 active markets. The minimum age to participate is 18, lower than the 21 required for traditional sports betting.

Kalshi's biggest growth engine is its integration with Robinhood. Through its "Prediction Market Hub," Robinhood pushes Kalshi contracts to its 40 million+ retail users. Robinhood's prediction market business now generates $100 million in annualized revenue, with over 11 billion contracts traded and more than 1 million users. Kalshi itself raised $1 billion led by Coatue, pushing its valuation to $22 billion and briefly surpassing Polymarket.

> **Warning**
>
> Kalshi's vulnerability is category concentration: roughly 90% of its volume comes from sports, especially during NFL season. More troubling, as of early 2026, 19 states have filed lawsuits against Kalshi, alleging that its sports contracts violate state gambling laws. The legal status of sports contracts remains unresolved — how the Supreme Court rules could determine the trajectory of the entire industry.

Other Players: Each With Their Own Niche

ForecastEx (Interactive Brokers subsidiary), positioned as the "serious traders'" prediction market. As a wholly owned subsidiary of Interactive Brokers, ForecastEx deeply integrates with IB's trading infrastructure, focusing on macroeconomic and policy events. In 2026, it began self-certifying sports markets. Manifold's meta-market predicts roughly 12% volume share for 2026 — a solid third-place contender.

PredictIt, the veteran prediction market player. After winning a three-year court battle with the CFTC in July 2025, it was approved to expand into a regulated derivatives exchange in September 2025. Small in scale, but the top performer in accuracy studies (more on this below).

Metaculus, a nonprofit prediction community with no real money at stake. About 100,000 active forecasters compete on reputation and rankings. On questions requiring deep domain expertise (AI development, climate change, etc.), it often outperforms capital-driven markets. Frequently cited by academics and policymakers.

Emerging Platforms: Approaching from Every Direction

Polymarket and Kalshi dominate the mainstream narrative, but the next tier of the ecosystem deserves attention too.

Platform	Differentiator	Chain / Infrastructure	Unique Angle
Drift BET	Integrates perpetuals + lending + prediction markets	Solana	Positions earn yield; a DeFi combo play
Azuro	Liquidity layer protocol (think Uniswap)	Multi-chain	Other apps build frontends on top; the "utilities" of prediction markets
O.LAB	Reputation-weighted accuracy system	BNB Chain	3,000+ community predictions; historically accurate forecasters get higher weights
Manifold	Social prediction platform	Centralized	Virtual currency Mana, anyone can create markets, ultra-low barrier

Drift BET's approach is the most interesting: rather than building a standalone prediction market, it embeds prediction functionality into the broader DeFi ecosystem. While trading perpetuals on Drift, you can casually bet on game outcomes, and your positions earn lending yield in the meantime. This "one-stop-shop" experience is very attractive to DeFi-native users.

Azuro takes the infrastructure route — it doesn't face end users directly but provides a liquidity layer for other teams. If Polymarket is Taobao, Azuro wants to be Shopify — set up a frontend and you've got a prediction market.

O.LAB's reputation-weighting mechanism is worth watching. Regular prediction markets are egalitarian — money equals voice. O.LAB gives more weight to forecasters with better track records. The design is closer to Metaculus in spirit, but with economic incentives layered on.

Regulatory Landscape: A Three-Way Game

The most critical challenge facing prediction markets isn't technology or user growth — it's an existential classification battle: what exactly is it?

Regulatory changes in 2025-2026 can be summed up in one sentence: **the federal level is opening the floodgates, while the state level and Congress are tightening the screws.**

Federal: Opening the Gates

In November 2025, the CFTC formally approved Polymarket's return to the U.S. market, issuing an Amended Order of Designation. Requirements include enhanced monitoring, clearing procedures, and full Part 16 reporting — but the door is open. The CFTC had previously classified prediction markets as "swaps," placing them under exclusive federal jurisdiction. This theoretically shields prediction markets from many state-level gambling bans.

Nevada: The First Shot

The Nevada Gaming Control Board (NGCB) became the first state to sue Polymarket. In February 2026, a judge issued a temporary restraining order (TRO) outright prohibiting Polymarket from operating in Nevada. The rationale: Polymarket's event contracts constitute "unlicensed gaming." Kalshi and Polymarket filed a joint appeal, and the Trump administration voiced support for both platforms. But the TRO's very existence is a signal: states aren't giving up jurisdiction without a fight.

Congress: The Biggest Threat

In March 2026, Senators Adam Schiff (D-CA) and John Curtis (R-UT) jointly introduced the "Prediction Markets are Gambling Act." The bill's content is blunt: **ban prediction market contracts involving elections, government actions, war, and sports.**

These four categories combined basically cover the entire core business of Polymarket and Kalshi.

Bipartisan sponsorship means this isn't political posturing from one side — there's genuine legislative intent. If passed, the entire industry's business model would need to be rebuilt from scratch. This is also why Kalshi and Polymarket both urgently updated their internal rules in March 2026, tightening self-regulation — trying to prove the industry can govern itself before the bill passes.

Palantir Enters: AI Monitoring for Prediction Markets

On March 10, 2026, Polymarket announced a surprising partnership: a joint deployment with Palantir and TWG AI of the Vergence AI engine to monitor sports prediction market trading activity.

Who is Palantir? The U.S. intelligence community's most trusted data analytics company — a go-to contractor for the CIA and the Pentagon. A decentralized crypto prediction market hiring the U.S. government's surveillance vendor to police its own trading — the irony is hard to miss.

But this is precisely Polymarket's strategic choice. Under the twin pressures of congressional legislation and state-level lawsuits, Polymarket needs to demonstrate to regulators: we can police ourselves. The Vergence engine identifies abnormal trading patterns, detects potential market manipulation, and submits compliance reports to regulators and sports leagues. The 3-year, $300 million MLB deal likely wouldn't have happened without Palantir's monitoring system as a trust backstop.

> **Industry scale by the numbers:** 2025 industry-wide volume exceeded $40 billion (Polymarket + Kalshi combined), roughly 4x that of 2024. According to Manifold's meta-market forecasts, expected 2026 market share: Polymarket 47%, Kalshi 34%, ForecastEx 12%, Robinhood 7%. Prediction markets are transforming from a "niche betting scene" into "mainstream financial infrastructure."

The Accuracy Showdown: Who's the Most Accurate?

Prediction markets' most compelling selling point is "more accurate than experts." But real data shows the picture is more nuanced.

A late-2025 Vanderbilt University study provided the first systematic accuracy comparison:

Platform	Accuracy	Brier Score (lower = better)
PredictIt	93%	—
Kalshi	78%	—
Polymarket	67%	0.06
Polling Baseline	—	0.125

A few points worth noting:

PredictIt has the highest accuracy (93%), Polymarket the lowest (67%). This is somewhat counterintuitive. Polymarket has the highest volume, and per "wisdom of crowds" theory, should be the most accurate. But PredictIt's participants skew academic, and its low betting cap (previously $850 per person) actually reduces the interference of speculative behavior on the signal.

On Brier scores, prediction markets overall crush polls. Polymarket's Brier score of 0.06 vs. the polling baseline of 0.125. The Brier score measures the overall quality of probabilistic predictions (not just directional accuracy, but calibration), suggesting that prediction markets, while occasionally less accurate than experts on individual events, are genuinely superior at probability calibration.

High-volume markets are more accurate. This aligns with intuition: more participants and more money invested means more reliable price signals. Polymarket actually performs quite well in "sufficiently popular markets." The problem lies in long-tail markets — those with few participants and thin liquidity where price signals are unreliable.

Global Regulatory Overview

Country/Region	Legal Status	Key Details
U.S. (Federal)	Conditionally Legal	CFTC classifies as "swaps," requires DCM license. But congressional legislation could override.
U.S. (State)	Contested	Nevada TRO ban, 19 states suing Kalshi, Utah advancing HB243 blocking bill
Netherlands	Illegal	Ordered Polymarket to cease services in Feb 2026, classified as illegal gambling
United Kingdom	Split Regulation	Political/sports contracts treated as gambling; CFDs fall under FCA
Singapore	Illegal	Blocked in Jan 2025 under the Gambling Control Act 2022
China (Mainland)	Illegal	All forms of online gambling are prohibited
Japan	Heavily Restricted	Only government-authorized horse racing, boat racing, etc.

Sources: IAGR, CryptoNews, SBC Americas, as of March 2026

For ordinary users, the practical takeaway is: does your country or region allow participation? If you're in mainland China, Singapore, or the Netherlands, the answer is a clear "no." In the U.S., it depends on your state and how congressional legislation progresses. Elsewhere, it's most likely a "gray zone."

The fundamental tension: Prediction markets wear three faces simultaneously — financial derivative (with price discovery function), gambling (wagering on future events), and information tool (generating socially valuable probability signals). The CFTC has chosen the "financial derivative" path, but the bipartisan congressional bill signals that this path could be blocked at any time. This classification battle may ultimately need to be settled by the Supreme Court.

§10 Where Prediction Markets Are Headed

Where Prediction Markets Are Headed

> Prediction markets spent five years going from academic fringe to financial mainstream. Over the next five years, they must answer one fundamental question: am I gambling, or am I information infrastructure? The answer won't be decided by technology — it'll be decided by a piece of legislation in Washington.

$POLY Token: The Biggest Catalyst

From hints to confirmation, the $POLY token is no longer just a rumor.

In early 2026, Polymarket CMO Matthew Modabber officially confirmed that a native POLY token and airdrop are coming. Parent company Blockratize Inc. filed trademark applications for "POLY" and "$POLY" on February 4. Based on current information, 5-10% of the token supply will be allocated to an airdrop, with distribution likely based on trading volume — similar to previous DEX and derivatives protocol models.

But Polymarket clearly knows its priorities. The CMO's message was essentially: **launch and stabilize the U.S. app first, then release the token**. This is pragmatic. With the congressional "Prediction Markets are Gambling Act" looming, pushing a token launch first would be handing ammunition to opponents. Getting the regulated product right, then layering on token economics, is the smarter play in the current environment.

If $POLY does materialize, Polymarket's positioning shifts: from a pure prediction market into a DeFi protocol with a token economic model. The upside is incentivizing more liquidity providers; the risk is that token speculation may distort the market's core information-discovery function. The UMA incident already demonstrated what happens when token governance gets captured by a few large holders.

The U.S. App: Top Priority

Polymarket's U.S. app is currently in early testing, requiring an invite code to access. It's built on the compliance framework established through the 2025 acquisition of QCEX's CFTC license.

For Polymarket, the U.S. market isn't a nice-to-have — it's the must-win main battlefield. ICE (NYSE's parent company) has invested nearly $2 billion. MLB signed a 3-year, $300 million exclusive deal. Palantir deployed an AI monitoring system. All of these resources point toward the U.S. market. If the U.S. app can roll out

successfully, Polymarket gains a regulated, direct channel to tens of millions of American users — no longer needing users to circumvent geoblocks with crypto wallets.

Sports: The New Growth Engine

Many people still think of prediction markets primarily as "election forecasting tools," but actual data tells a completely different story.

On March 19, 2026, Polymarket announced it had become MLB's (Major League Baseball) exclusive prediction market partner. **$300 million over 3 years** — the largest sports partnership in prediction market history. Polymarket gained the right to use MLB branding and access to Sportradar's official data feeds. MLB simultaneously signed a memorandum of understanding (MOU) with the CFTC for information sharing, establishing an unprecedented cooperation framework between a sports league and a financial regulator.

This wasn't the first. NHL (hockey), MLS (soccer), and UFC (mixed martial arts) had all previously partnered with prediction market platforms. The collective pivot from sports leagues signals a realization: prediction markets aren't a threat — they're a channel that can generate new revenue and new forms of fan engagement.

On Kalshi, sports already account for roughly 90% of trading volume. Robinhood has launched NFL parlay and player performance betting. Across the industry, sports account for over 60% of open interest. The transformation of prediction markets from "political forecasting tools" to "full-category event trading platforms" is being driven primarily by sports.

> **Warning**
>
> But this puts prediction markets on a direct collision course with the traditional sports betting industry. DraftKings, FanDuel, and their peers view prediction markets as existential threats. It's fundamentally the same users doing the same thing, just through different regulatory channels. Prediction markets go through the CFTC; traditional betting goes through state gambling commissions — and the former's compliance costs are far lower. This is the root cause behind the 19 states suing Kalshi.

AI: From Tool to Leading Player

AI is fundamentally reshaping the prediction market ecosystem, and to a far greater degree than most people realize.

One key data point: on Polymarket's public leaderboard, 14 of the top 20 most profitable wallets are bots. That's 70%. This isn't a fringe phenomenon — the market's main actors have already changed.

Arbitrage traders extracted approximately $40 million in profit from Polymarket between April 2024 and April 2025. Their strategies aren't about predicting the future better than humans — they're structural arbitrage: buying both Yes and No when their combined price is below $1 to lock in risk-free profit; exploiting cross-platform price gaps between Polymarket and Kalshi; identifying logical inconsistencies between related contracts.

Some representative AI agents:

Agent	Performance	Timeline
Polystrat (Olas)	4,200+ trades in first month, peak single-trade return 376%	Launched Feb 2026
ilovecircle	$2.2M profit in 2 months, 74% win rate, covering politics/sports/crypto	2026

The more important shift is the rapid build-out of ecosystem infrastructure. A tool chain analogous to forex and crypto algorithmic trading is emerging fast: whale tracking tools, mispricing detection platforms, cross-platform arbitrage scanners, institutional-grade trading terminals. Prediction markets are evolving from "retail gut-feeling betting" to "professional trading infrastructure."

> **Key Insight**
>
> **What this means for ordinary participants:** As AI agents become the primary liquidity providers and traders, information asymmetry will intensify further. Those with better AI models will have a systematic advantage; ordinary retail traders may increasingly find themselves as "counterparties." The narrative of prediction markets as "equal participation for everyone" and the AI-driven elitist reality are on a collision course.

Traditional Finance Enters: An Irreversible Trend

The clearest signal from 2025-2026 is the stampede of traditional financial giants into the space. This is no longer crypto's echo chamber.

ICE (NYSE parent company) has invested nearly $2 billion in Polymarket — $1 billion in October 2025, another $600 million in March 2026. The NYSE's parent company investing in a crypto prediction market would have been unthinkable two years ago. This isn't just a bet on Polymarket itself; it's a strategic positioning play by traditional exchanges for the "event contracts" asset class.

Robinhood, through integrating Kalshi contracts, put prediction markets directly in front of retail users. $100 million in annualized revenue, 1 million+ users participating. Robinhood proved something: the growth bottleneck for prediction markets isn't demand — it's the entry point. Embed it inside an app with 40 million existing users, and they'll come on their own.

Bloomberg Terminal has already begun integrating prediction market data. Traders on Bloomberg can now see Polymarket's probability quotes directly. Prediction markets are no longer a standalone sector — they're embedding into the bedrock of global financial information.

Sports leagues' attitudes have also shifted. MLB, NHL, MLS, and UFC are collectively embracing prediction markets. These leagues were once among the most adamant opponents of any form of event wagering (remember Pete Rose's lifetime ban). Now they're proactively signing partnership deals, a sign that the legitimacy perception of the industry has undergone a fundamental transformation.

The Core Tension: Gambling or Information Tool?

Every discussion about the future of prediction markets ultimately returns to the same question: **is it gambling, or is it information infrastructure?**

This isn't a philosophical question — it's a legal one. Different answers mean entirely different regulatory frameworks and entirely different survival prospects.

The CFTC chose the "financial derivative" path, granting federal-level legality. But the bipartisan congressional "Prediction Markets are Gambling Act" pursues the other path: classifying election, government, war, and sports contracts outright as gambling. If passed, Polymarket's and Kalshi's core businesses would be essentially wiped out.

The tension exists because both sides have a point.

The case for information tool: In the 2024 U.S. election, Polymarket's forecast outperformed virtually all major polls. In 2025, prediction market probability movements predicted Federal Reserve decisions 1-2 weeks ahead of mainstream economists and polls. Brier score 0.06 vs. polling baseline 0.125 — academic data supports prediction markets' superior accuracy.

The case for gambling: 92.4% of participants lose money, 25% of volume may be fake, military secrets are being monetized through bets, and sports dominate trading volume. By user behavior, most people participate in prediction markets in ways that aren't fundamentally different from playing slot machines.

This tension won't have a simple resolution. The most likely outcome: prediction markets remain legal at the federal level but face category restrictions; sports contracts may be assigned to state-level gambling commissions, while political and economic contracts stay within the CFTC framework. A compromise — the American way.

Closing Thoughts: A Few Words for the Reader

In writing this guide, my view of prediction markets went through several shifts.

First came excitement. A "truth machine" where people vote with real money, more accurate than polls, more honest than experts — it sounded like the ultimate tool of the information age.

Then came caution. UMA manipulation, military intelligence leaks, 92% of people losing money, 25% fake volume. The deeper I dug, the further this "truth machine" seemed from the ideal.

Finally came a pragmatic understanding. **Prediction markets are not magic. They are a tool.** And tools are neither good nor bad — it depends on who uses them and how.

If you're considering participating, a few suggestions:

> **Key Insight**
>
> **Observe first, then bet.** Create an account and spend two weeks watching without trading. Observe how prices move, the rhythm of popular markets, how settlement disputes are handled. Run mental paper trades to see how accurate your own judgment is. If after two weeks you still want to play, start with money you wouldn't mind losing entirely.

> **Key Insight**
>
> **Treat it as an information source, not an ATM.** The greatest value of prediction markets isn't in making you money — it's in providing you with a crowd-calibrated probability signal. Want to know if the Fed will cut rates next meeting? The probability on Polymarket is more useful than any single analyst's opinion. You don't need to place a bet to access this value.

> **Key Insight**
>
> **Control your positions, accept your losses.** No single event should exceed 5% of your total capital. The 92.4% losing rate isn't a scare tactic — it's a statistical fact. If you can treat prediction markets as "tuition" rather than "investment," your mindset will be much healthier.

Looking back at the history of prediction markets — from 16th-century Italian city-states' political wagering, to the 1988 Iowa Electronic Markets experiment, to Polymarket's birth during a pandemic in 2020, to the industry's push toward a hundred-billion-dollar scale in 2026 — it has always been about the same thing: humanity searching for better ways to quantify uncertainty.

The core insight of prediction markets is actually quite simple: when people back their judgments with real money, information gets expressed more honestly and probabilities get priced more accurately. Hayek said it in 1945: the price mechanism is the most efficient tool for aggregating dispersed knowledge. What's changed is that technology has finally caught up with the theory.

The future of this market depends on three things: how Congress legislates, how traditional finance integrates it, and how AI transforms it. Regardless of which direction prevails, prediction markets' role as "information infrastructure" is irreversible. Next time you see a flickering probability number on a Bloomberg terminal or a news app, you're looking at more than just a number — you're seeing the collective judgment of thousands of people who've voted with their wallets.

It may be the most honest information tool humanity has ever created. It may also be just a more sophisticated form of gambling. In all likelihood, it's both.

Polymarket: The Complete Guide

The Past, Present & Future of Prediction Markets

Huashu

Prediction market theory & mechanics
Polymarket deep-dive & hands-on guide
Whale strategies, AI trading & automation
Risk warnings, controversies & competitive landscape

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